Cybercrime and State Power in Russia

Historical Conditions and the Bargain Between Private Actors and the State

John Elijah · November 10, 2026



CURRENT EVENTS. ENDURING QUESTIONS.

When analysts ask whether a Russian cybercriminal "works for the state," they may be asking the wrong question.

This essay does not attempt to attribute any specific Russia-based cybercriminal actor, intrusion campaign, malware family, or other activity to the FSB, GRU, SVR, or another organ of the Russian state. Such attribution requires technical, behavioral, and intelligence evidence, including analysis of tactics, techniques, and procedures, that lies outside the scope of this analysis.

The question is narrower: what historical, political, economic, and institutional conditions make relationships between state authorities and nominally private cybercriminal actors possible and mutually useful? Publicly documented cases show that such relationships can exist. They do not imply that unnamed actors or activities belong to them.

The Russian system does not always operate through formal employment, written orders, or a clean organizational chart. It often operates through permissions. An actor may be allowed to profit, build a network, and remain beyond the reach of foreign law enforcement, provided that the actor does not threaten Russian interests and remains useful when the state needs something done.

Russia's relationship with cybercriminals falls between complete state control and ordinary law-enforcement failure. It is a conditional bargain. Although the cyber version is modern, the governing logic is older.

Conditional Autonomy in Russian History

Across different periods, the Russian state has treated the rights, property, freedom, and autonomy of individuals, classes, firms, and informal networks as conditional. The condition may be service, compliance, usefulness, or simply political harmlessness. What changes over time is the resource being extracted and the bargain offered in return.

This does not mean that Russians possess some inherent cultural predisposition toward exploitation or authoritarianism. Nor does it mean that Russian history has followed a straight and inevitable line from serfdom to cybercrime. The continuity is institutional rather than genetic: Russian governments have repeatedly treated law and legal status as instruments through which people, property, and capabilities can be mobilized for state purposes.

Muscovy developed as what historians have called a service state. Noble status and possession of land were linked to service to the ruler. The state provided nobles with land and control over peasants in return for military and administrative service. [2]

The legal code of 1649 formally attached peasants to their places of residence. Runaway peasants became fugitives of the state, while nobles remained obligated to serve it. Rights, status, land, and labor were organized around the requirements of sovereign power. The system did not make everyone equal before the law. It assigned different legal conditions according to what the state required from each group. [1] [2]

Under Stalin, that logic became vastly more coercive. The Gulag combined punishment, political repression, and economic mobilization. Common criminals, political prisoners, religious dissenters, and others classified as enemies were made to construct canals, railways, hydroelectric facilities, mines, roads, and industrial enterprises. The state also contracted prisoner labor to other economic organizations. [3]

Russia's war against Ukraine provides a more recent example. Beginning in 2022, prisoners were offered pardons and payments in return for fighting, initially through Wagner and subsequently through structures associated with the Ministry of Defense. Reports also documented intimidation and coercion. Once again, the state converted a population's legal status into usable capacity, this time military manpower. [4]

Serfdom, the Gulag, wartime prisoner recruitment, and cybercrime are plainly not morally or operationally equivalent. The point is not that one caused the next. The recurring method is what matters: law and legal status establish the terms under which autonomy can be restricted, exchanged, or restored in return for service.

The same principle can apply at the highest levels of wealth and power.

Mikhail Khodorkovsky was not legally vulnerable in the ordinary socioeconomic sense. He was once Russia's wealthiest man and controlled one of its largest oil companies. But wealth did not place him beyond the state's reach. When he began funding political opposition and demonstrating an independent political base, the law became an instrument through which that independence could be dismantled. [5] [6]

It is unnecessary to argue that every allegation against Khodorkovsky or Yukos was fabricated. The more important issue is selective enforcement. The rise and fall of Khodorkovsky communicated that wealth accumulated during the Yeltsin era could remain secure only while its owners respected the political boundaries established by the Kremlin. The lesson was not that wealth itself was forbidden. It was that wealth could not become an autonomous source of political power. [5] [6]

Khodorkovsky illustrates the negative side of conditional autonomy: wealth does not purchase independence from the state. Cybercriminals illustrate its positive side: compliance and usefulness may purchase substantial freedom from the law.

The Post-Soviet Generation and the Internet

Historical patterns of governance may help explain why the Russian state can accommodate a bargain with cybercriminals. They do not, by themselves, explain why Russia developed such an active and technically sophisticated cybercriminal ecosystem.

That explanation must also account for the generation that came of age during the collapse of the Soviet system.

The Soviet Union left behind a population with considerable mathematical, scientific, and engineering expertise. It also left behind educational and social institutions that had organized technical talent into recognizable careers and state-sponsored pathways. When the Soviet system disappeared, much of the talent remained while many of the institutions surrounding it weakened, vanished, or ceased functioning predictably. [8]

The economic environment was equally disruptive. The Soviet collapse was followed by years of instability and then the 1998 financial crisis. The ruble collapsed, household incomes fell, unemployment rose, and savings were destroyed. IMF data placed Russian unemployment at 13.3 percent at the end of 1998 and 14.2 percent by April 1999. [7]

This author lived in Russia from 1999 to 2001, in the aftermath of the decade's second devastating financial shock, and observed a generation caught between systems.

Russia had inherited a technically educated population, but many of the institutions and career paths that once organized that talent had disappeared or stopped functioning. Young people, especially young men, spent hours in relatively affordable Internet cafes. Most were not plotting crimes. They were gaming, communicating, experimenting, and teaching one another. But those cafes also offered access, time, peers, and the freedom to learn by doing. In an economy with few legitimate opportunities, that environment helped produce a technically fluent generation for whom the emerging Internet offered both a community and a potential source of income.

That observation is anecdotal, not proof of a national pattern. It is, however, consistent with the broader conditions of the period.

Research into the emergence of Russian cybercrime identifies a potent combination: high levels of technical education, limited legitimate economic opportunities, weak or incomplete cybercrime laws, inadequate enforcement, and access to much wealthier foreign targets. Contemporaneous reporting was already describing Russian hackers as unusually skilled and connecting that ability to rigorous technical training and the scarcity of rewarding legal employment. [8] [9]

Russia's cybercriminal ecosystem did not appear from nowhere. It grew partly from the generation that came of age in the institutional gap between the Soviet collapse and the consolidation of the Putin system.

The Soviet inheritance supplied technical capital. The post-Soviet collapse supplied economic desperation and weak institutions. The Internet supplied foreign targets, new communities, and opportunities for self-directed learning. The Putin system did not create this ecosystem from scratch. It inherited it and gradually shaped the terms under which it could operate. [8]

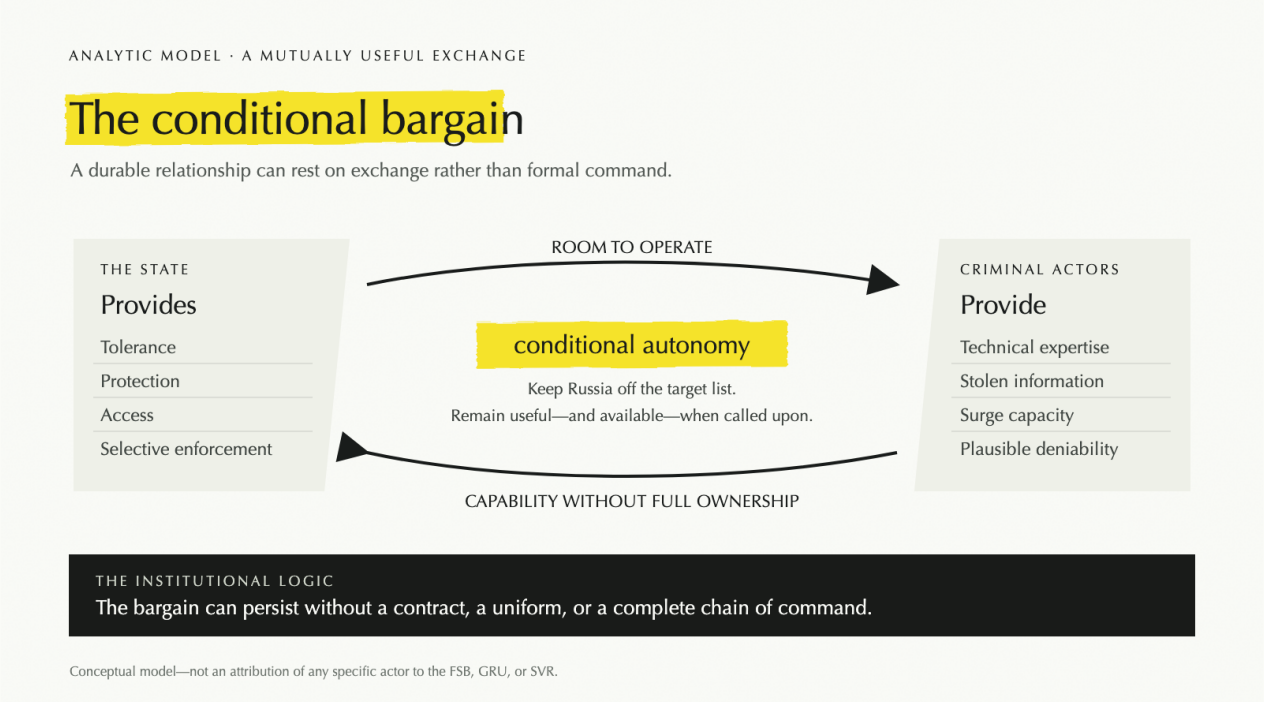
The Cybercriminal Bargain

Cybercriminals differ from serfs, Gulag prisoners, and wartime recruits in an obvious but important respect. The most capable possess scarce knowledge, entrepreneurial independence, international connections, and their own sources of income.

They are more valuable when they retain some freedom of action. The state therefore has reasons to preserve rather than consume them.

The resulting bargain can offer cybercriminals freedom to continue profiting from foreign victims, protection from extradition, selective non-enforcement of Russian law, access to officials or information, and insulation from competitors or foreign investigators.

The state receives technical expertise without bearing its full development cost, surge capacity for operations, access to stolen information, actors who can be activated or selectively tasked, and plausible deniability when an operation becomes politically inconvenient.



The conditional bargain between the state and criminal actors.

This is not traditional forced labor. It is conditional autonomy.

A capable cybercriminal may become wealthy and enjoy a lifestyle unavailable to most Russians. But that freedom exists within boundaries. The actor must remain useful, controllable, or at least non-threatening. Domestic targets are generally avoided. Political independence is dangerous. State requests may be difficult to refuse. Protection can be withdrawn.

The bargain need not be written down or negotiated in a single room. Its boundaries can be learned from which actors are arrested, which are ignored, which receive protection, and which find themselves suddenly exposed.

The geographic behavior of ransomware provides one visible clue. Multiple ransomware families have been programmed to stop when they encounter Russian or other former Soviet language settings. This does not prove that the Russian government directed their operations. It does demonstrate that avoiding domestic victims has been embedded in the practices of parts of the Russian-speaking criminal ecosystem. [10]

The United Kingdom's National Cyber Security Centre has assessed that Russia-based ransomware actors benefit from the Russian state's tacit consent while cautioning that the degree of direct Kremlin control remains unclear. That distinction is essential. Shelter does not require daily direction. Tolerance is not the same as command. [11]

Evidence From Documented Cases

The clearest public example is the 2014 Yahoo intrusion that U.S. prosecutors later alleged involved two FSB officers and criminal hackers.

According to the Justice Department's 2017 charges, the FSB officers allegedly directed and paid criminal hackers, provided information that helped one of them avoid detection, and allowed him to exploit the same access for

personal financial gain. If the allegations are accurate, the state obtained intelligence and operational access while the criminal continued stealing financial information and generating private revenue. [12]

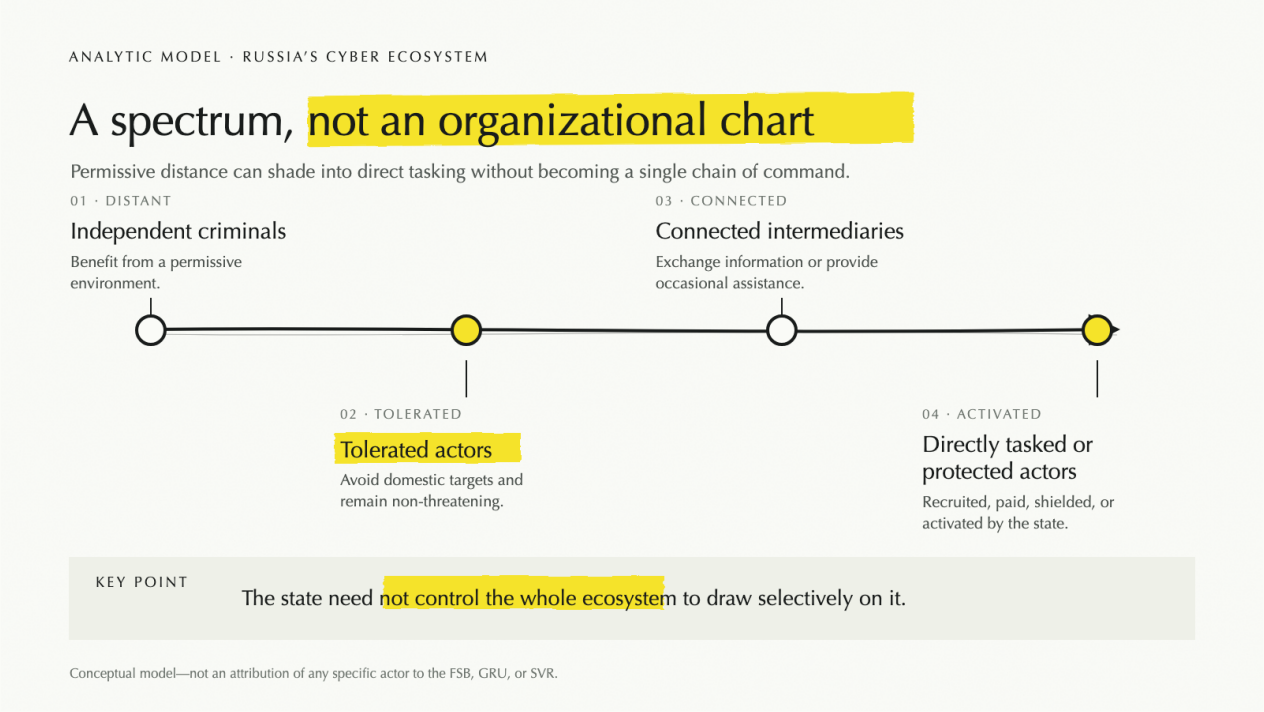
The case makes the alleged exchange unusually visible: state tasking, criminal profit, official protection, and overlapping use of the same technical access.

A 2024 U.S. Treasury action described a former FSB special-forces officer as an intermediary who helped develop and later protect a cybercriminal organization's relationships with Russian officials. Again, the important feature was not a clean chain of command. It was a network joining criminal profit, personal patronage, protection, and usefulness to the state. [13]

These cases establish that such relationships exist. They do not establish that every Russian-speaking cybercriminal, ransomware operator, or technically skilled hacker participates in them.

Some actors are financially motivated and little else. Some may avoid Russian targets simply because attacking at home would attract police attention. Failure to prosecute may reflect corruption, incompetence, or limited capacity rather than deliberate state policy. Ideologically aligned hackers may act in what they perceive to be Russia's interests without ever receiving instructions.

The ecosystem is a spectrum, not an organizational chart. At one end are independent criminals who benefit from a permissive environment. Further along are actors who cultivate relationships with officials, provide occasional assistance, or exchange information. At the other end are individuals directly recruited, protected, paid, or tasked by organs of the Russian state.



A spectrum from independent criminals to directly tasked or protected actors.

The state does not have to control the entire ecosystem to benefit from it. It needs only to shape the incentives under which that ecosystem operates.

State Tradition and Cyber Capability

Russia's cybercriminal ecosystem is neither simply outside the state nor wholly inside it. It occupies a negotiated space in which enforcement, protection, patriotism, coercion, and private profit overlap.

The Russian state does not need to command every criminal actor. It needs only to establish the terms under which criminality becomes tolerable: do not prey too visibly at home, do not challenge the state, and remain useful when national interests create demand for your skills.

The cybercriminal receives permission to operate. The state gains capability without full ownership and power without full accountability.

Seen institutionally, this bargain belongs to the same governing story examined in this author's essay, "How Putin Hollowed the Russian State One Cut at a Time." Institutions do not disappear; they are repurposed. Law enforcement remains available, but enforcement becomes selective. Security services remain powerful, but their reach can protect, task, or discipline informal actors rather than establish predictable rules. A state can therefore look strong because it can command while remaining weak at correction, accountability, and lawful restraint.

The decisive issue is not whether Russia possesses technically talented people. It is whether the country's political and legal institutions can make illegal talent profitable, protected, and useful to the state. The cybercriminal bargain should therefore not be understood only as a failure to police crime. It can also be an institutional arrangement. Russian history does not make that outcome inevitable, but it helps explain why the bargain is legible to both sides and why it can persist without formal command.

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